



OTHM LEVEL 5 DIPLOMA IN LOGISTICS AND SUPPLY CHAIN MANAGEMENT

**H/650/1106 -
Procurement and
Inventory Management**



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SESSION 01

H/650/1106 - Procurement and Inventory Management

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MBA (AUS), ABE (UK), CPM (IND)



SESSION 01

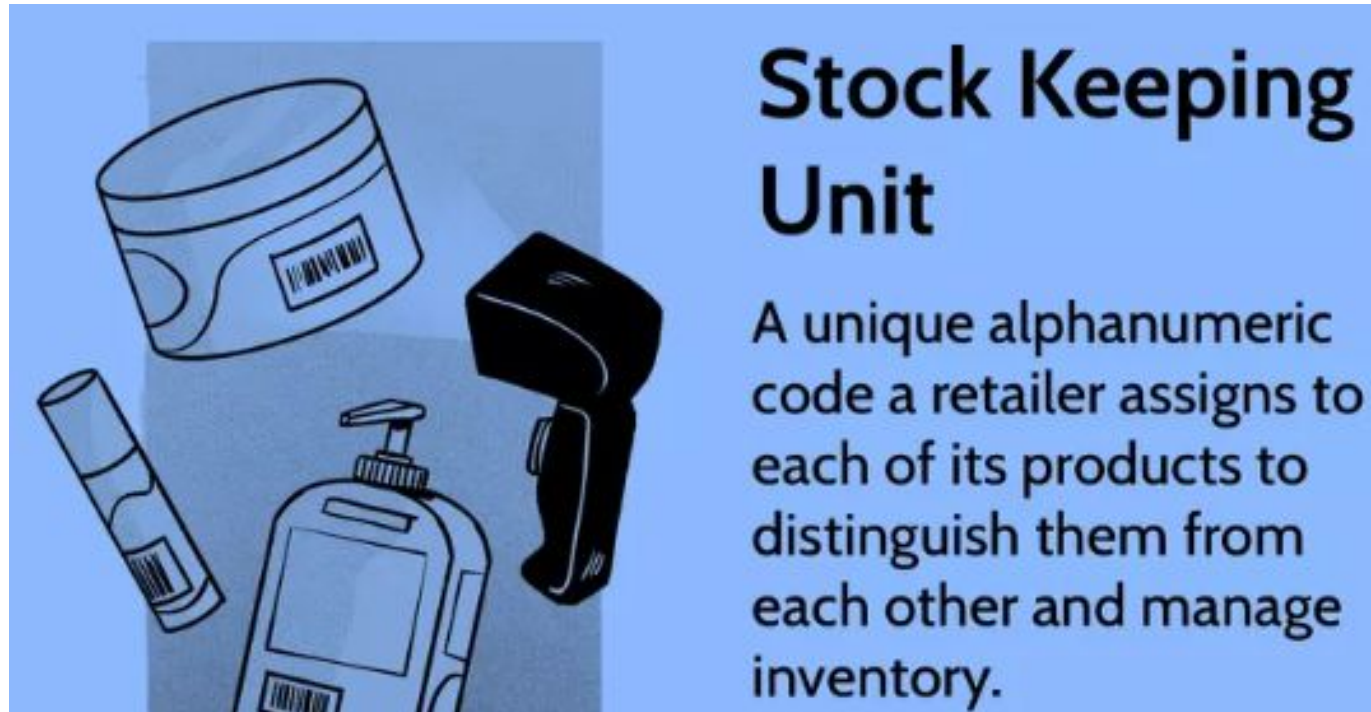
Learning Outcomes and Assessment Criteria

Learning Outcome – The learner will:	Assessment Criterion – The learner can:
1. Understand the fundamentals of procurement management.	1.1 Differentiate between procurement and purchasing. 1.2 Describe a procurement management cycle. 1.3 Compare different methods of procurement. 1.4 Assess the impact of procurement on the operations of a logistics business.

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1. Understand the fundamentals of procurement management.

1.1 Differentiate between procurement and purchasing



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What Is a Stock Keeping Unit (SKU)?

SKUs are retailer codes that track product, manufacturer, and price information.

SKUs are used for inventory and sales tracking.

SKU { KS93528TUT



UPC /Bar Code

48052 83045 23

UPC Number Universal Product Code

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The difference between procurement and purchasing

Procurement a strategic process

Purchasing is a transactional function

Procurement concentrates on the strategic process of product or service sourcing, for example researching, negotiation and planning, whilst the **Purchasing process** focuses on how products and services are acquired and ordered, such as raising purchase orders and arranging payment.

Procurement and **purchasing** are two separate business processes that both relate to the sourcing and acquisition of goods and services and can often be seen as part of the procurement department.

1.1 Differentiate between procurement and purchasing

Procurement Vs Purchasing

Despite procurement and purchasing tasks interchanging, they are separate functions in their own right. A brief overview of the difference between procurement and purchasing can be outlined as:

Procurement: Strategic process

- Identify needs and requirements
- Source and evaluate local, national or international supplier(s)
- Negotiate terms, conditions and contracts
- Build and manage supplier relationships
- Perform cost savings and profit margin analysis

1.1 Differentiate between procurement and purchasing

Purchasing: Transactional activities

- Receive purchase requisitions
- Evaluate quotes from suppliers
- Raise and process purchase orders (PO)
- Receive goods/services and warehouse management
- Process and organize payment with supplier

1.2 Describe a procurement management cycle. **‘Purchasing as a process’**

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1.2 Describe a procurement management cycle.

1.2 Describe a procurement management cycle. **‘Purchasing as a process’**

A typical procurement process can involve the following steps:

- Identify a need
- Research and source relevant supplier(s)
- Create preferred supplier list
- Supply request for quotation (RFQ)
- Evaluate supplied quotes and suppliers
- Negotiate terms and contract with supplier(s)
- Arrange and receive product/service
- Perform quality check
- Analyse results, KPIs and margins
- Develop and maintain relationship with supplier(s)

1.2 Describe a procurèrent management cycle.



1.2 Describe a procurement management cycle.

A typical purchasing process includes:

- Receive a purchase requisition
- Evaluate received RFQs (Request for quotations)
- Create and distribute purchase orders
- Receive products / services
- Quality Assurance of received product / service
- Arrange payment to suppliers

1.2 Describe a procurement management cycle.

A **budget** is a financial plan that outlines expected income and expenditures over a specific period—usually monthly, quarterly, or annually. It helps individuals, businesses, or organizations manage money, prioritize spending, and achieve financial goals. In simple terms, it's a plan for how much money you'll bring in and how you'll spend it.

Key Parts of a Budget:

- **Income:** All sources of money coming in (e.g., salary, business revenue, grants).
- **Expenses:** All the costs you expect (e.g., rent, salaries, utilities, marketing).
- **Savings/Profit:** What's left after expenses, if any.

1.2 Describe a procurement management cycle.

Budget Approval:

Budget approval is the process of reviewing, modifying (if needed), and officially agreeing to the proposed budget before it can be used or implemented. This ensures oversight, accountability, and alignment with goals.

In Different Contexts:

- **In a company:** Department heads may submit budgets for approval by upper management or a finance committee.
- **In government:** Budgets are proposed by executives (e.g., mayor, governor) and approved by a legislative body (e.g., city council, parliament).
- **In nonprofits:** The board of directors often reviews and approves the annual budget.

1.3 Compare different methods of procurement.

E-PROCUREMENT (Electronic Procurement)

E-procurement is the digital management of procurement activities using online platforms or specialized software. It covers everything from identifying suppliers to placing orders and making payments.

1.3 Compare different methods of procurement.

Main Steps in an E-Procurement Process:

1.Requisition:

1. A department needs something (e.g., new laptops) and submits a purchase request using an online procurement portal.

2.Approval:

1. The system automatically routes the request to a manager or finance team for approval, based on rules like cost or urgency.

3.Supplier Selection:

1. The procurement team uses an e-tendering platform to invite multiple suppliers to submit quotes online.

4.Purchase Order (PO):

1. Once a supplier is chosen, a digital PO is created and sent through the platform.

5.Order Fulfillment:

1. The supplier ships the goods. The organization tracks shipment status in real-time via the platform.

6.Goods Receipt & Inspection:

1. The receiving department confirms delivery and checks quality.

7.Invoicing & Payment:

1. The supplier submits an e-invoice. Once approved, payment is processed electronically.

1.3 Compare different methods of procurement.

PROCUREMENT CONTRACTS

A procurement contract is a legally binding agreement between a buyer and supplier, detailing what is being purchased, under what terms, and who is responsible for what.

1.3 Compare different methods of procurement.

Main Types with Examples:

1. Fixed-Price Contract

Buyer pays a set amount, regardless of supplier's actual costs.

Example: A city hires a company to build a bridge for \$10 million.

2. Cost-Reimbursable Contract

Buyer pays for actual costs + an agreed fee (profit).

Example: A research lab hires a consultant for a long-term project. The lab reimburses costs for travel, materials, etc., plus a fixed fee.

1.3 Compare different methods of procurement.

3. Time and Materials Contract (T&M)

Buyer pays based on time spent and materials used.

Example: An IT company provides on-call support at \$50/hour. If more hours are needed, the price increases.

4. Framework Agreement

A long-term agreement with agreed pricing for repeated purchases.

Example: A hospital signs a 3-year contract with a supplier for surgical gloves, ordering monthly at pre-agreed rates.

1.3 Compare different methods of procurement.

Key Parts of a Procurement Contract:

- Scope of Work/Services
- Delivery Timeline
- Payment Terms
- Penalties (for late delivery or poor quality)
- Termination Clauses
- Confidentiality Clauses

1.4 Assess the impact of procurement on the operations of a logistics business.

Economies of Scale

Economies of scale refer to the cost advantages a business gets as it increases production. The more units produced, the lower the cost per unit, because fixed costs are spread out over more items, and bulk buying reduces variable costs.

Types of Economies of Scale:

a) Internal Economies of Scale (within a company):

Technical – Using advanced machinery to produce more efficiently.

Purchasing – Buying materials in bulk at discounted rates.

Managerial – Hiring specialized managers increases productivity.

Financial – Large firms get better loan rates from banks.

1.4 Assess the impact of procurement on the operations of a logistics business.

b) **External Economies of Scale** (industry-wide benefits):

Clustered suppliers, shared R&D, skilled labor availability.

Example:

Company: Toyota

Scenario: Toyota manufactures millions of cars yearly.

It buys steel, rubber, and chips in massive quantities → gets volume discounts.

Factories run at full capacity → spreads fixed costs (like rent, R&D) over more cars.

Per-unit cost drops, allowing Toyota to price competitively and increase profit margins.

1.4 Assess the impact of procurement on the operations of a logistics business.

2. Just-in-Time (JIT)

Just-in-Time (JIT) is a lean inventory strategy where materials and products are ordered and received only when needed—not before. This minimizes inventory holding costs and waste.

Key Features:

No buffer stock or excess inventory.

Tight coordination with suppliers.

High reliance on accurate demand forecasting.

1.4 Assess the impact of procurement on the operations of a logistics business.

Benefits:

Lower inventory costs (no need for big warehouses).

Reduces waste and spoilage.

Improves cash flow.

Risks:

Disruptions (like supplier delays or global issues like COVID-19) can halt production.

1.4 Assess the impact of procurement on the operations of a logistics business.

Example:

Company: Dell Computers

Scenario: Dell builds laptops only after a customer places an order.

Parts (CPUs, RAM, hard drives) arrive just in time for assembly.

No need for storing large amounts of stock.

Dell reduces warehousing costs and passes savings to customers.

1.4 Assess the impact of procurement on the operations of a logistics business.

3. Ethical Procurement

Ethical procurement is the process of acquiring goods/services in a way that aligns with moral principles such as fair labor, sustainability, and transparency.

Key Principles:

Fair wages and safe working conditions.

No child or forced labor.

Environmentally friendly materials and production.

Anti-corruption and fair trade practices.

Supporting local or small suppliers.

1.4 Assess the impact of procurement on the operations of a logistics business.

Why It Matters:

Protects human rights.

Builds brand trust.

Meets stakeholder and regulatory expectations.

Reduces environmental impact.

1.4 Assess the impact of procurement on the operations of a logistics business.

Example:

Company: Patagonia (Outdoor apparel brand)

Scenario: Patagonia sources materials from certified Fair Trade factories and uses recycled fabrics.

It regularly audits suppliers to ensure they follow ethical labor standards.

Customers trust Patagonia for being transparent and responsible.